COMPANY ANALYSIS

BUY

VT Cosmetics (018290, KQ)

Riding Overseas Growth, Peak-Out Concerns Recede ★

Stock Price

Target Price	KRW 53,000
Current Price (07.26)	KRW 34,450
Upside	53.8%

Stock Information

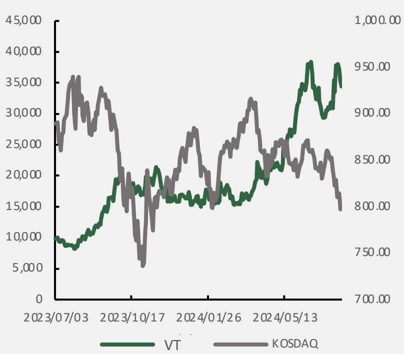
Market Cap.	KRW 1,3317B
Shares Outstanding	35,798,007
52 Week High	KRW 40,000
52 Week Low	KRW 8,490
Foreign Ownership	10.25%
Major Shareholder	Jeong Cheol and 3 others 40.40% Treasury 0.85%

Earning data (24F)

Multiple	2023	2024E	2025E
P/E	44.5	22.6	13.6
MKT P/E	18.19	12.24	N/A

Price Increase Rate	1M	3M	6M
	6.5%	58.8%	105.8%

Price Trend (2023.07.01 ~ 2024.07.26)



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Check Point

1) Business Restructuring + Strong Domestic Growth

VT is transforming into a pure-play cosmetics company through the divestment of non-core businesses, acquisition of manufacturing capabilities, and separation of its entertainment business. Domestic growth remains strong, led by Olive Young and Daiso.

2) Japan Offline Expansion; China as Upside

Japan's 1Q online/offline mix stood at 46%/54%, with continued expansion in offline channels. This broadens VT's addressable market from JPY 0.5tn to JPY 3.6tn. China could provide additional upside following Reedle Shot's planned 2H launch.

3) U.S. Growth Potential in Skincare

Reedle Shot's Amazon "Facial Serums" ranking rose from No. 268 in Dec-23 to No. 4 in Jul-24. We see meaningful upside in the U.S. skincare market, supported by strong product efficacy and competitive pricing.

2025F Revenue of KRW 562,7bn; OP of KRW 122.0

We forecast 2024/25 revenue of KRW 395.0bn (+34% YoY) / KRW 562.7bn (+42% YoY) and operating profit of KRW 75.3bn (+64% YoY) / KRW 122.0bn (+62% YoY). Growth should be driven by strong domestic momentum through Daiso and Olive Young, Reedle Shot's China expansion, and further TAM expansion in Japan and the U.S..

Initiate with 'BUY', Target Price of KRW '53,000'

We initiate coverage with a BUY rating and a target price of KRW 53,000, implying 53.8% upside, based on VT's continued domestic and overseas growth. Our target price is derived by applying a 21x target P/E to 2025F EPS of KRW 2,540. Considering that VT has entered a full-scale overseas expansion phase, we apply a 40% discount to Amorepacific's average P/E of 35x during its 2013–15 overseas expansion period.

Financial Data (KRW B)	2021	2022	2023	2024E	2025E
Revenue	226.8	240.2	295.5	395	562.7
Operating Profit	26.4	23.6	45.9	75.3	122
OP Margin (%)	11.6	9.8	15.5	19.1	21.7
Net Profit	17.5	13.2	32.1	54.5	90.9
EPS (KRW)	434	323	775	1,522	2,540
PER	79.4	106.7	44.5	22.6	13.6

INTRO

Why VT?

Just as Buldak emerged as a powerful single IP in the K-food market, we believe the K-beauty market is poised for a similar success story. Our focus is on VT's Reedle Shot.

Reddle Shot Shares the Same Success DNA as Buldak

▶ **Growth Powered by Social Media Buzz**: Buldak built a global fandom through viral YouTube challenges. Similarly, Reedle Shot is rapidly gaining traction through influencer reviews and word-of-mouth, validating its product efficacy and building a loyal customer base.

▶ **Expanding a Single IP into Multiple Products**: Buldak leveraged a single IP to launch products such as Buldak Sauce and Carbonara Buldak, driving both revenue and profitability. Reedle Shot, designed to enhance the delivery of active ingredients into the skin, can address various skincare needs including wrinkles, brightening, and blemishes. VT is expanding the Reedle Shot IP into products such as eye patches and sheet masks while maintaining strong operating margins.

▶ **Turning a Barrier into a New Consumer Experience**: Buldak transformed the unfamiliar experience of extreme spiciness into highly shareable content on YouTube and TikTok, successfully overcoming barriers to overseas adoption. Reedle Shot similarly offers a distinctive and highly shareable experience through its microneedle technology and signature tingling sensation. Combined with the growing global appeal of K-beauty, this differentiated experience is helping attract new consumers.

VT, The Right Time to Invest!

VT's share price has already risen significantly. However, considering the growth potential of Reedle Shot and the continued expansion of the K-beauty market, we believe the stock has room for a second leg of upside. Investing in VT represents an opportunity to gain early exposure to the next phase of K-beauty growth.

CONTENTS

Ⅰ. Industry Analysis

1.1. Cosmetic Industry Trends

Skinimalizm

Demand for Multifunctional Products ↑

Global cosmetics trends are increasingly centered on "skinimalism," a combination of skin and minimalism, reflecting consumers' preference for quality over quantity and rising demand for multifunctional skincare. Post-pandemic interest in skincare has increased, while time- and cost-efficient multitasking products have gained popularity.

Science-Backed 'Dermocosmetics'

At the same time, consumers are increasingly favoring high-efficacy products backed by scientific evidence, driving growth in dermocosmetics. Ingredients such as heartleaf, centella asiatica, and madecassoside have gained traction, while microneedle-based skincare is emerging as a hybrid between serums and at-home beauty devices. As dermocosmetics focus on skin soothing and anti-aging across skin types, they are relatively less dependent on race, geography, or culture, making them well suited for global expansion.

Ditto consumption

Growing Influence of 'Influencers' and Social Media in the information-Overload Era

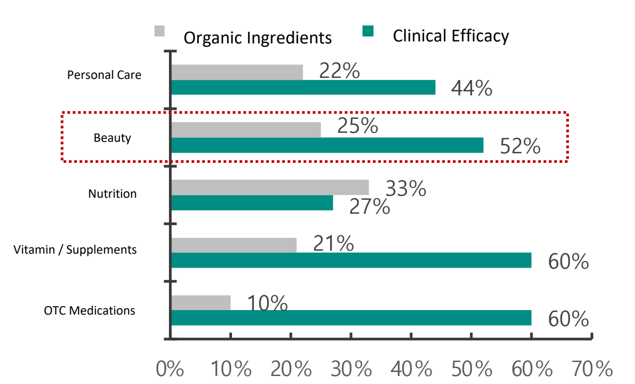
"Ditto consumption" refers to a purchasing trend in which consumers follow recommendations from specific influencers or content. As OEM/ODM manufacturing has lowered barriers to product launches, consumers face an overload of products and information, increasing their reliance on influencers and social media to reduce purchase uncertainty. The success of brands such as Selena Gomez's Rare Beauty and Kylie Jenner's Kylie Cosmetics can be viewed in this context.

'Ditto Consumption' Accelerates with TikTok Shop and YouTube Shopping

The launch of TikTok Shop and YouTube Shopping is expected to further accelerate this trend by enabling consumers to purchase products directly within content platforms. TikTok Shop gained strong traction shortly after its U.S. launch, with beauty and personal care accounting for a significant share of sales.

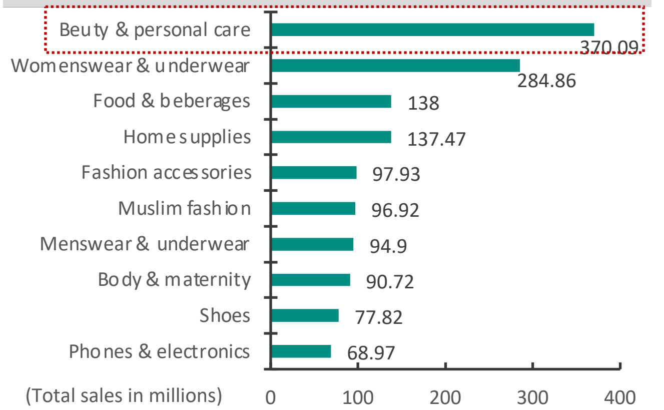
K-beauty brands are also increasingly leveraging TikTok and YouTube for marketing. VT's Reedle Shot, offered in different intensity levels, is particularly well suited for influencer-driven content, supporting rising views, exposure, and product awareness.

[Fig. 1] U.S. Consumer Preferences by Product Type



Source: Mckinsey

[Fig. 2] Global TikTok Shop Sales by Category (2023)



Source: statista

1.2. Cosmetic Industry Characteristics

Second K-Beauty Cycle, Driven by Global Markets Beyond China

From 2014 to 2016, strong demand for Korean beauty brands in China, led by large cosmetics companies, drove a major upcycle for the Korean cosmetics sector. However, the THAAD-related restrictions imposed in 2016, weaker Chinese consumer spending through the pandemic, and rising patriotic consumption contributed to a prolonged downturn.

Declining Real Disposable Income Driving Value-Oriented Consumption

The second K-beauty upcycle, which began in 2023, is structurally more favorable, as growth is being driven by relatively less uncertain markets such as the U.S. and Japan, with indie brands rather than large incumbents leading the expansion.

We see recessionary and value-oriented consumption as the key themes for 2H24. Persistent global inflation and high interest rates are widening income inequality and driving consumption polarization, while consumers increasingly recognize the decline in real disposable income. Against this backdrop, we expect continued growth in value-for-money indie brands, while the prestige segment remains sluggish.

Still in the Early Stage of Global Expansion, with Significant Room to Grow

Export data, a key indicator of end-demand, remains solid despite a high base. Korea's cosmetics exports grew 21.6% YoY in 1Q24 and 11.9% YoY in 2Q24, while exports to the U.S. rose 61.5% YoY and to Japan 17.0% YoY in 2Q24. We believe this reflects the still-early stage of K-beauty penetration in major global markets.

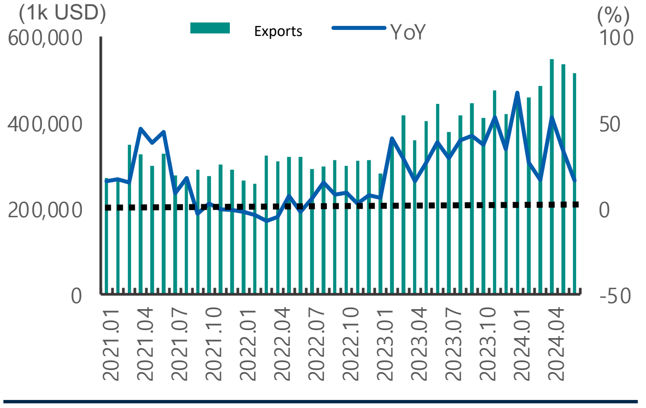
Expansion into the U.S., the world's largest cosmetics market, and Japan provides meaningful long-term growth potential. Supported by K-culture, strong product quality, and price competitiveness, broader global adoption could drive a valuation re-rating for leading K-beauty companies.

Growth Starts with a 'Hero Product', Followed by Category and Channel Expansion

K-beauty brands entering the growth phase typically expand through two channels: 1) category expansion and 2) channel expansion. **Category Expansion:** Growth typically begins with a standout "hero product", followed by extensions into adjacent products within the same franchise. **Channel Expansion:** Brands expand through both online and offline channels, with strong online rankings supporting sales, brand awareness, and further market expansion.

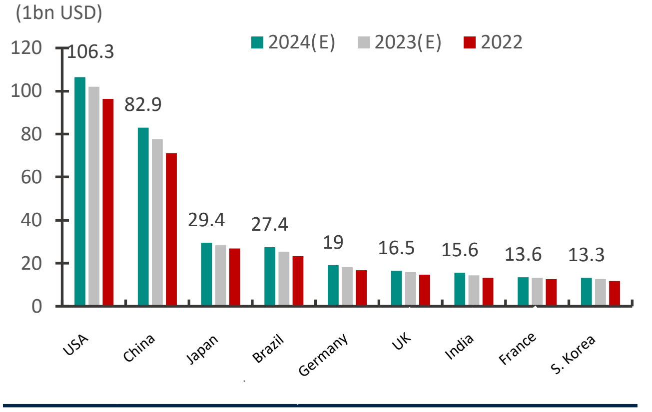
Through this process, brands generate earnings growth via higher ASPs from category expansion (P), higher unit sales (Q), and broader distribution channels (Q), with the hero product ultimately becoming the foundation of brand competitiveness.

[Fig. 3] Cosmetic Exports Excluding China (HS 3304)



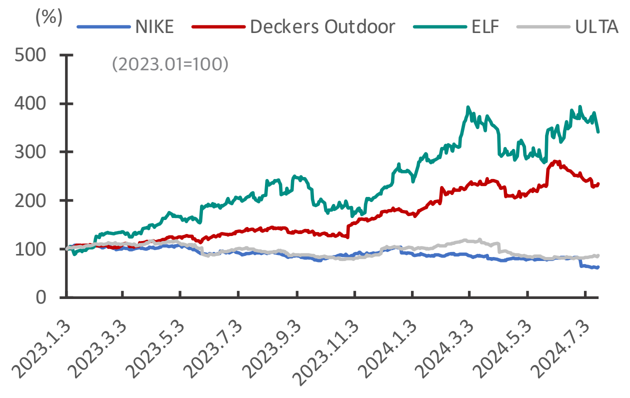
Source: Korea Customs Service

[Fig. 4] Global Cosmetics Market Size



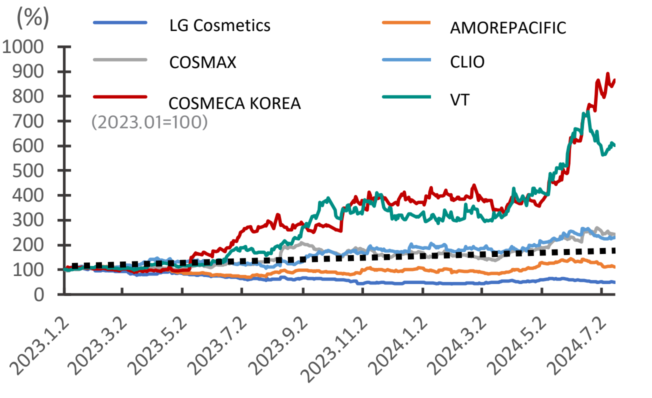
Source: Korea Health Industry Statistics; Euromonitor

[Fig. 5] Share Price Among Global Companies



Source: Yahoo Finance
Note : NIKE vs Deckers Outdoor / ELF vs ULTA
Indie Brands Outperform Prestige Players with Sharper Growth and Stronger Share price Performance

[Fig. 6] Stock Performance of Korean Companies



Source: Yahoo Finance

1.3. Entertainment Industry

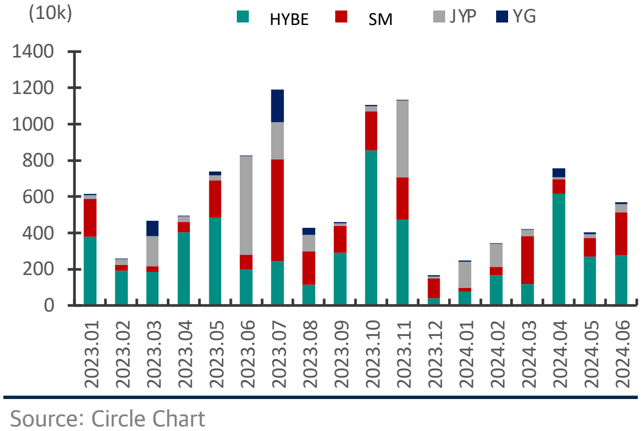
Industry Peak-Out Still Premature; Focus on Expanding Overseas Markets

Weak album sales have been the key drag on the entertainment industry. During the pandemic, the absence of concerts was offset by surging album sales, supporting both earnings and share prices. As post-pandemic pent-up consumption normalized, concerns over an "album peak-out" emerged, driving a sector-wide correction. However, we believe it is premature to equate an album peak with an industry peak, as fan spending is increasingly diversifying into concerts, merchandise, streaming, and platform revenue. HYBE's music streaming revenue reached KRW 297.8bn in 2023, up 79% YoY, highlighting the growing contribution from non-album businesses. A recovery in sector sentiment will likely depend on stronger IP monetization and broader artist activities.

Album Sales Recovering; Major Artist Comebacks in 2H24

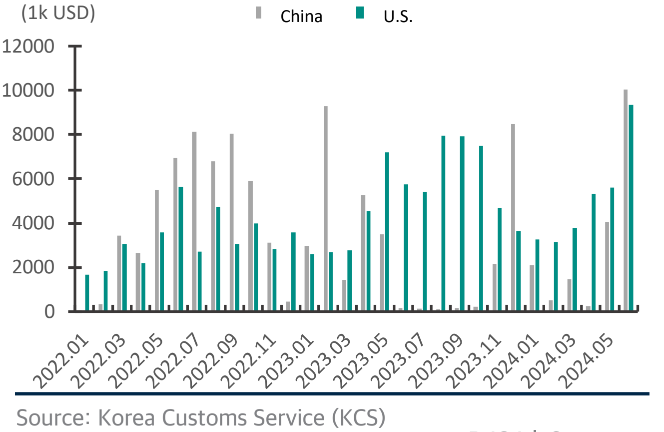
Album sales also appear to be stabilizing. China-bound sales, which declined sharply from 2H23, now face a favorable base and are recovering, while exports to the U.S. remain solid. Given the much higher purchase volume per fan in China, the sustained strength in other markets suggests continued expansion of the global K-pop fan base. While past growth was led by core fandoms, future earnings should increasingly come from global light fans across streaming, concerts, merchandise, and content. With BTS activities resuming and multiple major artist comebacks concentrated in 2H24, we expect the sector to rebound in the second half.

[Fig. 7] Monthly Album Sales of the Big Four Agencies



Source: Circle Chart

[Fig. 8] Album Export Trends to China and U.S.



Source: Korea Customs Service (KCS)

Ⅱ. Company Analysis

2.1. Company Overivew

VT History

VT was founded in 1986 as GMP, a laminating and film manufacturing company, and listed on KOSDAQ in 1994. Since acquiring a stake in VT Cosmetics in 2016 and merging with it in 2019, the company has diversified through investments in VT Bio, CUBE Entertainment, and Green Energy. VT currently operates across cosmetics, entertainment, laminating, housing, and bio businesses. In 2023, the laminating business was spun off into GMP as part of a divestment plan, and in 2024 VT acquired its cosmetics manufacturer E&C. The group currently consists of nine consolidated subsidiaries, including one listed company, and ten affiliates.

VT shareholders

Major shareholders include co-CEO Jung Chul (21.02%), affiliate CUBE Entertainment (9.62%), co-CEO Kang Seung-gon (5.44%), and executive Cho Hana (4.32%). CUBE Entertainment's major shareholders include Kang Seung-gon (36.83%), VT (10.06%), and Jung Chul (3.21%).

VT Revenue segments

In 2023, revenue contribution by segment was cosmetics 60.03%, entertainment 27.39%, laminating 10.68%, and others 0.94%. The cosmetics business has gained strong traction overseas through its CICA REEDLE and Reedle Shot lines, with overseas sales rising 62.5% YoY in 1Q24. Domestic sales also surged 932% YoY, supported by entry into Daiso and Olive Young in 4Q23.

The entertainment business is operated through CUBE Entertainment, with revenue generated from albums and digital music, artist services such as commercials and events, and content and merchandise. The company manages 31 artists. In 1Q24, strong sales of (G)I-DLE's second full-length album and YUQI's solo album drove record album performance, while other segments remained relatively soft due to seasonality.

The laminating business is operated through GMP, generating revenue from laminating machinery and film manufacturing. Laminating technology is used in applications such as protective film coating and anti-reflective lens coating. GMP is the only domestic designer and manufacturer holding proprietary induction-heating roller technology, which is also applied to secondary-battery equipment, FCCL film, and membrane-related manufacturing equipment.

[Fig. 9] Revenue Trend by Business Segment

(KRW 1M)		1Q2024	2023	2022	2021
Cosmetics	Domestic	22,337	26,487	12,906	24,250
	Export	41,064	150,902	117,702	92,269
Entertainment	Domestic	22,801	49,759	49,141	26,792
	Export	6,283	31,172	10,964	9,820
Laminating	Domestic	4,192	14,456	16,162	13,749
	Export	4,162	17.108	21,587	23,584

Source: DART, Formal VT Documents

2.2. Business Model

VT's core cosmetics portfolio centers on CICA and Reedle Shot, with Reedle Shot driving strong revenue and profitability. Designed as an at-home alternative to MTS (Microneedle Therapy System) treatments, the lineup includes Original, Reti-A, Vita-Light, Pro CICA, and Hydro variants.

Cosmetic Industry

Using needle-shaped micro-particles called "CICA Reedle," the product enhances active ingredient absorption and supports skin turnover. After launching in Japan in July 2023, Reedle Shot sold out online within three days and ranked No.1 at major Japanese retailers by September, prompting VT to expand production in 2H23.

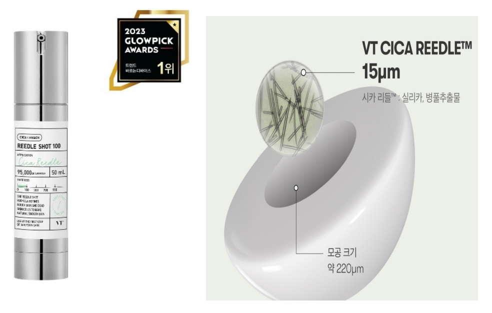
Reedle Shot is manufactured by E&C, while related products are sourced from multiple manufacturers and sold through both online and offline channels.

[Fig. 10] Cosmetic OEM Manufacures

Main ReedleShot Manufacture		Main 'Cica' Manufacture	
Manufacturer	Products	Manufacturer	Products
E&C Co., Ltd	27	E&C Co., Ltd	16
C&F Co., Ltd	5	C&F Co., Ltd	3
Finjay Cosmetic	4	IMINE	8
IMINE	4	Hankook Cosm.	4
HanKoook Cosm.	5	Cosmeca Korea	15
Coreana Cosm.	4	KODI Co., Ltd	4

Source: Official Homepage Product Info.

[Fig. 11] Reedleshot Product Image



Source: VT Cosmetics Homepage

Reedleshot

VT's core cosmetics products are its CICA and Reedle Shot lines, with Reedle Shot emerging as a key driver of both revenue and operating profit. Inspired by MTS (Microneedle Therapy System) treatments, Reedle Shot is designed for at-home skincare and is offered in multiple variants, including Original, Reti-A, Vita-Light, Pro CICA, and Hydro.The product uses needle-shaped micro-particles, or "CICA Reedle," to enhance the absorption of active ingredients and support skin turnover. Reedle Shot was first launched in Japan in July 2023, selling out on major online platforms within three days and ranking No.1 overall at key Japanese retailers by September. VT subsequently expanded production in 2H23. All Reedle Shot products are manufactured by E&C, while complementary products are sourced from nine manufacturers, including E&C, and distributed through online and offline channels.

[Fig. 12] 24.07.25 'Cica' Type Online Ranking (Japan)

Japan Qoo10 Mask 29th

Japan Rakuten Mark 14th

Source: Rakuten, Qoo10 Homepage

[Fig. 13] 24.07.25 'ReedleShot' Online Ranking (JP, KOR)

Japan Qoo10 Reedleshot 105th

Korea OliveYoung SkinCare 2nd

Source: Qoo10, Olive Young Hompage

2.3. Company Analysis

Focus on Product Competitiveness

The Korean cosmetics market is led by established brands such as Sulwhasoo and COSRX, while new indie brands continue to emerge and address increasingly diverse consumer needs. As a successful hero product can generate substantial revenue through both the core product and related extensions, companies are increasingly focused on product innovation and differentiated marketing.

For VT, whose portfolio is concentrated in skincare, we view Manyo Factory and Amorepacific as key peers. Compared with Manyo Factory's weakening profitability and Amorepacific's ongoing China-related risks, VT has shown significant margin improvement led by Reedle Shot, supporting a more favorable growth and earnings outlook.

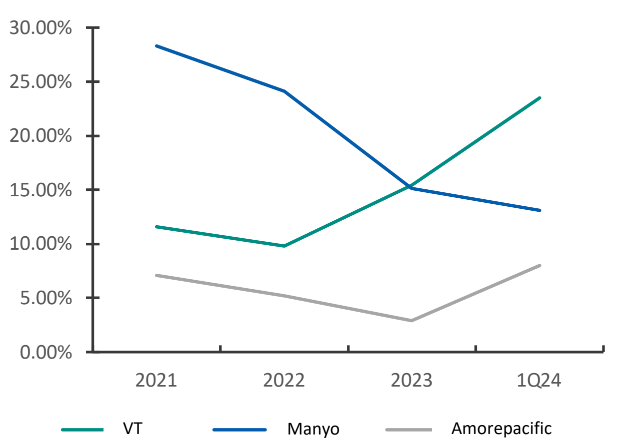
Manyo Factory(439090)

Manyo Factory has a skincare-focused portfolio, with cleansing products accounting for 51% of sales, ampoules/serums 23%, and skincare 21%. Its flagship Pure Cleansing Oil, launched in 2013, has ranked No.1 in Olive Young's cleansing category for three consecutive years. However, revenue growth slowed in 2023, while higher SG&A expenses, particularly advertising, pressured profitability. Although new product launches and overseas distribution expansion could support a recovery, advertising expenses are expected to remain at around 16% of sales in 2024. Operating margin declined from 28.3% in 2021 to 13.1% in 1Q24, indicating continued margin pressure.

Amorepacific(090430)

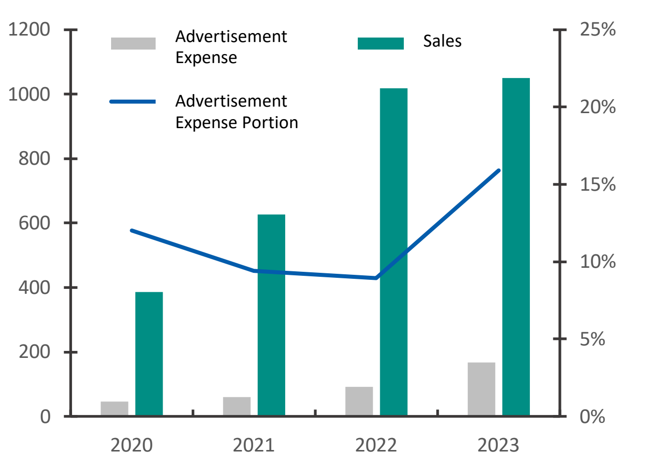
Amorepacific is one of Korea's leading cosmetics companies, with brands including Sulwhasoo, Innisfree, Etude, and Hera. Its key recent growth driver is COSRX, a functional skincare brand whose major lines include Advanced Snail and The RX. COSRX posted an approximately 82% revenue CAGR over the past four years, reaching KRW 478.5bn in revenue and KRW 167.5bn in operating profit in 2023, implying an operating margin of roughly 35%. Its consolidation from May should support Amorepacific's profitability. However, restructuring of distribution channels in China following a management change has led to weaker sales and higher inventory-related costs, creating near-term earnings pressure in 2Q–3Q24.

[Fig. 14] OPM Trends of 3 Companies



Source: compguide

[Fig. 15] Manyo Factory, Surging Advertisement Expense



Source: dart, compguide

Ⅲ. Investment Points

3.1. Pure Cosmetics Company, Alongside Strong Domestic Growth

Until 2023, VT operated across a wide range of businesses, including cosmetics, entertainment, laminating, real estate, bio, advertising and overseas distribution, hydrogen energy, EVs, and secondary batteries. Its articles of incorporation listed as many as 121 business purposes, including businesses that were not actually operated. At the 1Q24 AGM, VT removed all inactive business purposes and revised several existing ones, signaling a clearer corporate identity.

Defining VT

In April 2023, VT announced its intention to separate the laminating business and focus on cosmetics, completing the spin-off into GMP in July. The company also expressed plans to divest GMP and KJ Green Energy, its non-core hydrogen fuel-cell business, reducing concerns over its conglomerate structure and clarifying its core business focus. In July 2024, VT further accelerated its transformation by acquiring the manufacturer of Reedle Shot while divesting part of its entertainment holdings. The company also announced plans to acquire VT CUBE JAPAN, which manages CUBE Entertainment's offline distribution in Japan, by year-end 2024. These moves support VT's transition from a diversified conglomerate into a vertically integrated, pure-play cosmetics company. With management roles also becoming more clearly separated between cosmetics and entertainment, we expect stronger momentum from VT's cosmetics-focused growth strategy.

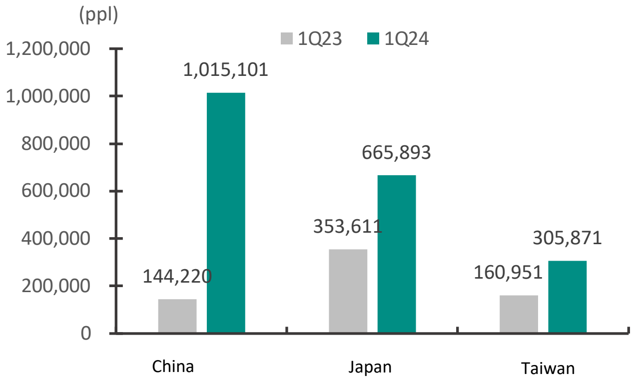
OliveYoung·Daiso Fueling Growth

OliveYoung Inbound Sales Growth

Foreign tourist arrivals to Korea surged in 2024, reaching approximately 6.28mn in Jan–May, up 81% YoY. As affordable indie beauty brands gained popularity, foreign consumers increasingly shifted toward value-oriented road shops rather than duty-free channels.

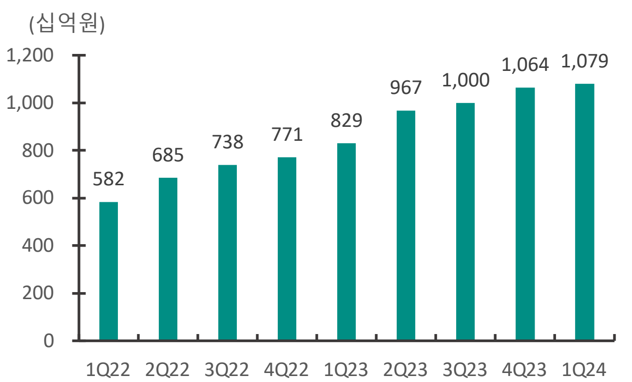
This trend is particularly evident at Olive Young, where foreign customer sales rose 263% YoY in 1Q24. At its Myeongdong flagship alone, around 4,000–5,000 foreign visitors shop each day. The share of foreign customers in Olive Young's 1Q sales also increased from 5% to 15% YoY, highlighting the growing importance of inbound tourism to domestic cosmetics demand.

[Fig. 16] Main Foreign Tourists Number



Source: Korea Tourism Knowledge & Information System

[Fig. 17] OliveYoung QoQ Sales Trend



Source: CJ

Potential Customer Generated by Daiso

VT first entered Daiso in October 2023 with its "VT 1st Line," centered on Reedle Shot. Unlike the larger KRW 30,000–40,000 products sold through Olive Young and its own online store, Daiso offers smaller, value-oriented versions at KRW 3,000. The launch generated strong demand, with repeated sell-outs, purchase limits, and open-run behavior. Daiso effectively serves as a testbed, allowing price-sensitive consumers to try entry-level products before upgrading to full-size products through Olive Young or other channels.

This model creates a win-win structure: Daiso secures popular products, while cosmetics brands gain customer acquisition and promotional benefits. VT is now preparing its "VT 2nd Line" at Daiso, adding collagen and Pro CICA variants, which should further support full-size product sales across Olive Young and other channels.
As of 1Q24, Olive Young and Daiso accounted for 26% and 22% of VT's domestic sales, respectively. With strong performance from Reedle Shot and CICA Cream, VT is expected to secure dedicated shelf space at Olive Young and expand SKUs across both channels in 2H24. We expect rising inbound tourism, continued channel growth, and broader product listings to drive further domestic revenue growth.

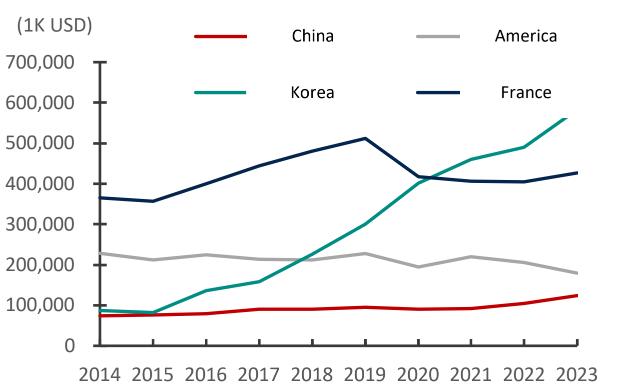
3.2. Japan Offline Expansion; China Upside

Korean Cosmetics Account for 37% of Japan's Total Cosmetics Imports

▶ **Japan**: Korean cosmetics imports into Japan have grown at a 21% CAGR over the past decade, overtaking France to become the largest source of cosmetics imports. The skincare segment has expanded more than tenfold over the past five years. While the sharp rise in exports has raised peak-out concerns, we believe further penetration remains possible: Japan is the world's third-largest cosmetics market at USD 29.4bn, yet Korean brands still account for only around 2% market share.

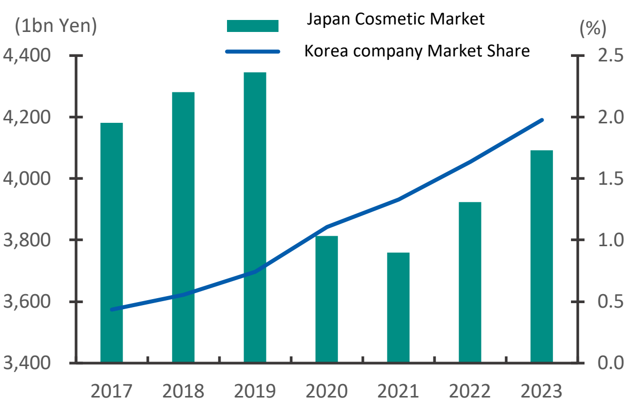
VT remains one of the key beneficiaries of this trend. During June's Qoo10 Mega Sale and Rakuten Super Sale, its mask packs and Reedle Shot products ranked within the top 1–5, with sales up 21% and 29% YoY, respectively, highlighting continued strong demand.

[Fig. 18] Japan's Cosmetics Imports by Country



Source: Global Trade Atlas

[Fig. 19] Japan Cosmetics Market & Korean Market Share



Source: Bloomberg

Reedle Shot Reduces Single-IP Risk and Drives New Customer Acquisition

VT successfully established its presence in Japan with its flagship CICA product, the Soothing Mask Pack. A second growth engine emerged in July 2023 with Reedle Shot, which gained strong online traction despite an ASP roughly 50% higher than existing products. The higher ASP also supported operating leverage, with cosmetics OPM improving from 16% in 2022 to 33% in 1Q24. Importantly, Reedle Shot did not cannibalize the existing CICA line, instead attracting incremental customers while legacy products maintained stable sales.

With two strong hero-product IPs, VT is now focused on 1) category expansion and 2) channel expansion.

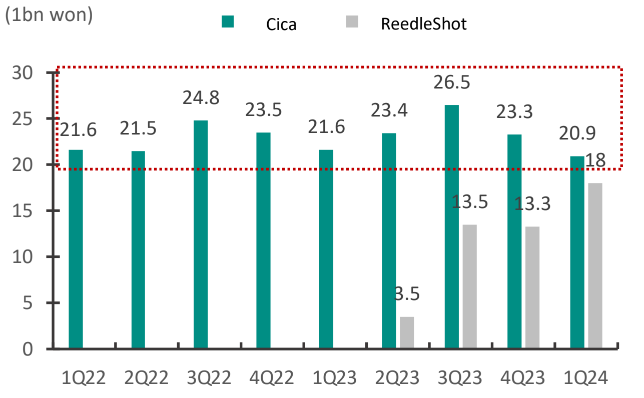
1) Reedle Shot Diversifies IP Risk and Attracts New Customers

1) Category Expansion: VT is building a broader “Reedle Shot universe” through both vertical and horizontal extensions. Vertically, the lineup ranges from 50 Shot to 1,000 Shot, encouraging users to migrate toward higher-intensity, higher-ASP products. Horizontally, VT is expanding into synergy products such as PDRN Reedle Shot, Lifting Reedle Shot, and 2-Step Masks. New launches should support higher ASPs, new customer acquisition, and stronger customer lock-in. The recently launched TX Toning product also showed strong early traction in Japan, selling around 70,000 units during a Qoo10 promotion.

2) Japan: 87% Offline Market; Targeting a 7x Larger Opportunity

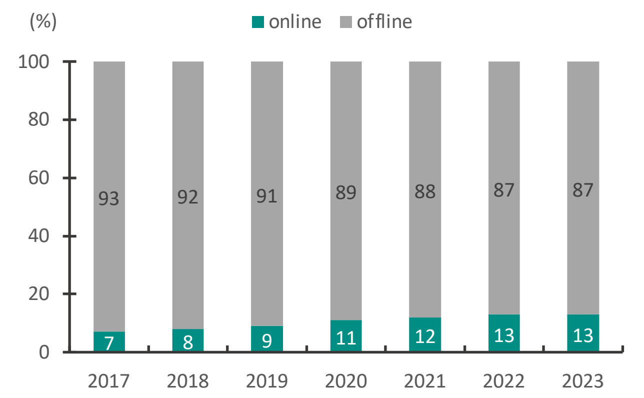
2) Channel Expansion: Japan’s cosmetics market remains heavily offline, with approximately 87% of sales generated through offline channels, particularly H&B retailers. Expanding offline distribution therefore opens access to a much larger addressable market—from roughly JPY 0.5tn online to JPY 3.6tn across the broader market. VT’s Japan sales mix shifted from 65% online / 35% offline in 2023 to 46% / 54% in 1Q24. By 2Q24, VT had entered around 18,000 variety and drugstores, while also expanding into CVS channels such as 7-Eleven and Lawson. Reedle Shot distribution increased to approximately 8,900 stores, versus just 350 in July 2023. With annual Reedle Shot production capacity of around KRW 300bn, VT appears well positioned to absorb further volume growth.

[Fig. 20] Cosmetic Sales in Japan



Source: VT

[Fig. 21] Japan Cosmetics Market by Distribution Channel



Source: Statista

Expecting Stronger Policy Stimulus in China

▶**China:** Korean cosmetics companies continue to face headwinds from weak consumer sentiment and rising patriotic consumption. While a rapid recovery is unlikely, we expect stronger policy support to help stabilize consumption, as reflected in the recent 10bp cut to the LPR.

Low Expectation, Low Base: Focus on Additional Upside (+a)

VT is currently applying for regulatory approval to launch Reedle Shot in China in 2H24. We believe market entry should be relatively smooth given VT's prior experience with VT x BTS products, strong brand recognition from Japan, and growing awareness among Chinese inbound tourists. With expectations for China already low, we see limited downside but meaningful upside potential from a low base and incremental Reedle Shot sales.

3.3. U.S. Growth Alongside Skincare: VT's Value-for-Money Edge

Reedle Shot Amazon Ranking: 268 → 4

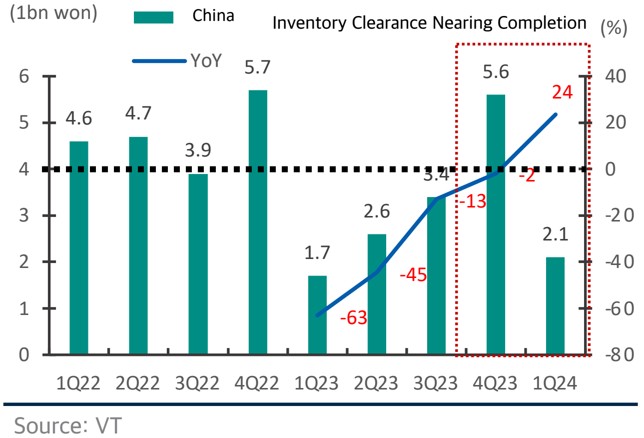
▶**U.S.:** Supported by the global skinimalism trend and structural growth in skincare, VT's Reedle Shot is seeing rapid demand growth in the U.S. The company entered Amazon in 4Q23, and Reedle Shot's ranking in the Facial Serums category surged from No. 268 in Dec-23 to No. 4 in Jul-24. Other products are also gaining traction, with the CICA Daily Soothing Mask ranking No. 37 in Face Masks and the newly launched PDRN line steadily climbing the rankings.

Skincare Growth Beyond Race and Skin Tone, Supported by the 3S Trend

U.S. consumers are increasingly seeking skincare products with clearly identifiable active ingredients tailored to specific skin concerns. This has supported strong category growth, with Ulta Beauty's skincare sales up 26.3% YoY in 3Q23. Unlike color cosmetics, skincare is less constrained by race or skin tone, making the diverse U.S. market particularly attractive for VT's core portfolio.

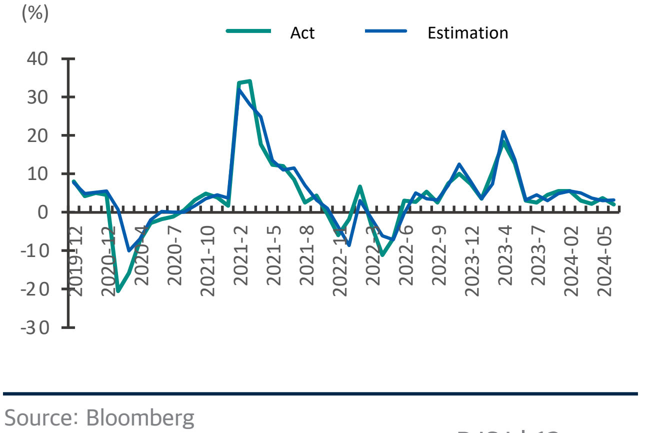
Reedle Shot also aligns well with emerging U.S. consumer needs around the 3S trend: Self-care, Skinimalism, and Slow Aging. By combining at-home care, functional skincare, and enhanced absorption of active ingredients in a single product, Reedle Shot offers a differentiated proposition. Given the U.S. is the world's largest cosmetics market, we believe it can become a major growth engine for VT alongside Japan.

[Fig. 22] China-Bound Revenue Trend



Source: VT

[Fig. 23] China Retail Sales Growth (YoY)



Source: Bloomberg

U.S. Consumers Seeking Better Value

The U.S. is currently experiencing a clear shift toward value-oriented consumption. Although per capita disposable income rose to approximately $60,276 in 2023, persistently high inflation has limited the improvement in consumers' real purchasing power. U.S. core inflation reached 3.7% in 1Q24, well above the 2.0% recorded in the previous quarter, leading consumers to increasingly prioritize affordability even in discretionary categories such as cosmetics. This trend has created a favorable environment for Korean beauty brands, which are predominantly positioned in the affordable-to-mid-priced segment. U.S.-bound Korean cosmetics exports increased from $81.1 million in May 2023 to $138 million in May 2024, representing strong YoY growth of 71.3%. As of July 24, 2024, the average price of the top 20 products in Amazon's Facial Serum category stood at $18.56, highlighting strong demand for competitively priced products.

The Rise of a High-Value Beauty Brand 'VT'

VT is well positioned to benefit from this shift. Its key products, including the Cica Daily Soothing Mask at $22.40, Cica Cream at $21.80, and Reedle Shot 100 Essence at $30.70, are all priced within the affordable-to-mid-range segment. Strong Amazon rankings also demonstrate that VT is successfully combining attractive pricing with competitive product quality.

Further Supported by favorable FX effects, Making VT even more price-competitive

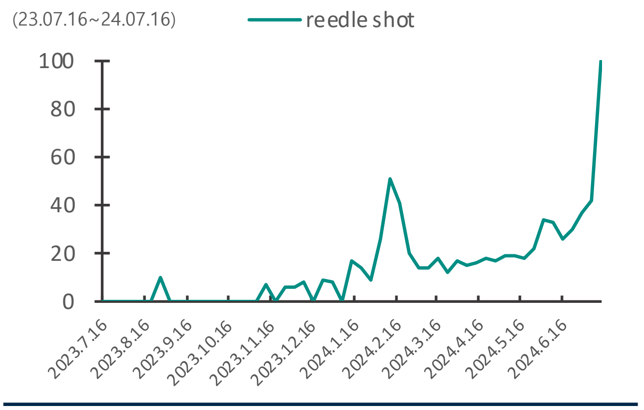
Favorable FX conditions further strengthen VT's price competitiveness. With the Korean won trading at approximately KRW 1,385 per U.S. dollar as of July, VT's products are relatively more affordable for U.S. consumers. Expectations for a strong dollar may also persist amid heightened trade-policy uncertainty, potential tariff increases, and continued safe-haven demand. Given that VT remains in the early stages of its U.S. expansion, the combination of competitive pricing, strong product appeal, and favorable FX conditions should support further market penetration and market-share gains.

Gain traction online first, then expand offline shelf presence

Growing influence of social media in the beauty market, Leveraging influencers to build awareness. Branding Reedle Shot as a "topical MTS"

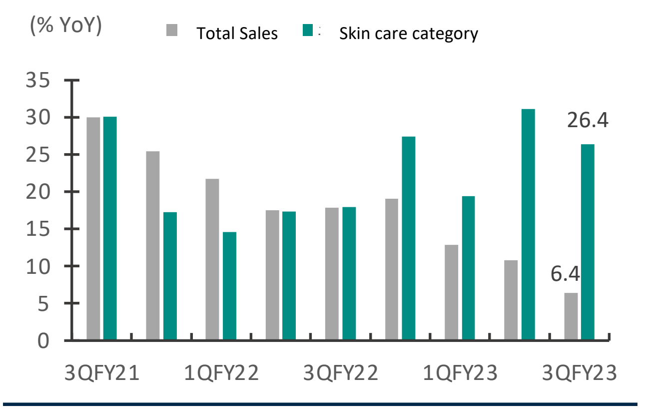
As social media plays a growing role in cosmetics purchasing decisions, online channels are taking an increasingly larger share of the U.S. beauty market. Consumers are discovering products through social media and short-form content, then purchasing them through platforms such as Amazon. VT has responded to this trend with aggressive social media marketing in collaboration with Silicon2 since March 2024. Through local beauty influencers across YouTube and TikTok, the company has positioned Reedle Shot as a differentiated and innovative "topical MTS (Microneedle Therapy System)" category. Given the importance of branding in cosmetics, VT has successfully established a distinctive image in the early stage of its U.S. expansion. This should also support future product extensions within the Reedle Shot universe and facilitate broader consumer adoption.

[Fig. 24] Reedle Shot Search Volume Trend in U.S.



Source: Google Trend

[Fig. 25] Ulta Beauty's Total Sales and Sales Growth



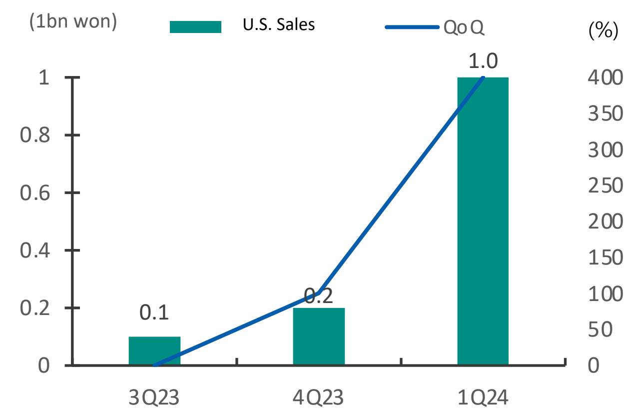
Source: Uta Beauty, Korea Investment & Securities

Offline Channels Remain Critical, Significant TAM Expansion Potential

Despite the growing presence of online channels, the U.S. beauty market remains heavily dependent on offline distribution, including mass retailers and multi-brand stores such as H&B chains. In 2023, e-commerce accounted for only 17.3% of U.S. retail sales, compared with 35.8% in Korea. VT currently relies primarily on Amazon, but successful expansion into physical retail could significantly broaden its TAM and provide upside potential for a valuation re-rating. Silicon2, VT's distribution partner, opened its first offline K-beauty concept store, MOIDA, in California in June 2024. The store is located at Ontario Mills, one of California's largest outlet malls, and currently carries popular Korean brands such as COSRX, Beauty of Joseon, Round Lab, and TIRTIR. Given that VT's partnership with Silicon2 has accelerated this year and Reedle Shot is already gaining strong traction in the U.S., we expect VT products to gradually expand into offline retail channels, with MOIDA serving as an initial foothold. Broader shelf penetration across multi-brand stores and other offline retailers could become an important next leg of growth in the U.S. market.

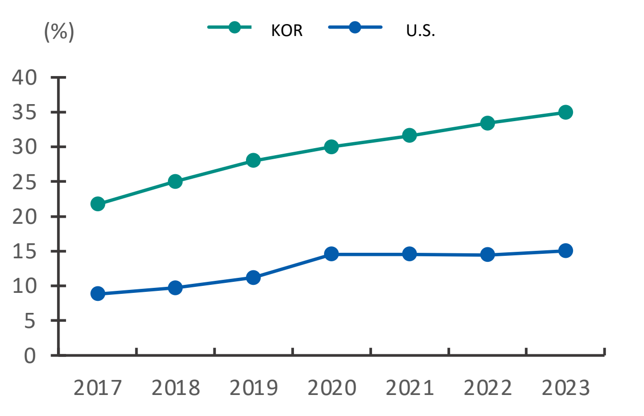
Expected First Step into Offline Retail through Silicon2 Partnership

[Fig. 26] Strong Upward Trend in U.S. Sales



Source: VT

[Fig. 27] Lower Online Penetration in U.S. Retail



Source: Statistics Korea, US Census Bureau, KIS

Ⅳ. Risk

4.1. Intensifying Market Competition

Highly Competitive Market

Cosmetics manufacturing typically entails relatively high barriers to entry due to the need for technical capabilities and upfront investment in production facilities. In contrast, cosmetics brand companies face much lower entry barriers, as they can outsource production to OEM/ODM manufacturers and focus primarily on sales and marketing. The number of cosmetics brand companies in Korea reached 28,015 in 2022, up 621% from 2013, and is estimated to have exceeded 30,000 by 2024. As new brands continue to enter the market, competition has intensified, increasing both pricing pressure and marketing costs. That said, VT is primarily focused on skincare, a category that is generally less sensitive to short-term trends than color cosmetics. Skincare products serve as the foundation of consumers' beauty routines, and once users find products that suit them, switching tends to be relatively limited, supporting stronger customer loyalty and repeat purchases.

Skincare's Defensive Characteristics and the Strength of VT's Flagship Products

VT also already has a proven hero product in Reedle Shot, while its broader skincare portfolio, led by the Cica line, continues to generate steady sales. We therefore expect the company to maintain a relatively strong competitive position despite intensifying industry competition, supported by the recurring nature of skincare demand and the strength of its established product franchises.

V. Valuation

5.1. Sales Estimation

We estimated VT's revenue by business segment, primarily separating cosmetics revenue from laminating revenue. For subsidiaries such as Cube Entertainment, ENC, Bio, Global, and Kably, we estimated each entity's standalone revenue and then derived consolidated revenue after applying consolidation adjustments. As internal transactions could not be estimated directly, we applied the average consolidation adjustment from the previous four quarters.

Cosmetic Sales Estimation

Cosmetics revenue was estimated on a country-by-country basis to reflect differences in market entry timing and stage of penetration.

Japan Sales Estimation

▶ **Japan**: We separately forecast Reedle Shot and the Cica line. Reedle Shot's growth from 2Q23 to 1Q24 was broadly similar to the Cica line's early expansion in Japan, so we assumed a comparable penetration curve. Accordingly, we applied the Cica line's 2021–22 growth rates to Reedle Shot for 2Q24–1Q25 and its 2022–23 growth rates for 2Q25–4Q25. For the more mature Cica line, we assumed moderate growth while incorporating a cross-selling effect, with 10% of Reedle Shot users also purchasing Cica products.

Korea Sales Estimation

▶ **Korea**: We separately forecast Reedle Shot and the Cica line. Reedle Shot's growth from 2Q23 to 1Q24 was broadly similar to the Cica line's early-stage expansion in Japan, leading us to assume a comparable penetration curve. We therefore applied the Cica line's 2021–22 growth rates to Reedle Shot for 2Q24–1Q25 and its 2022–23 growth rates for 2Q25–4Q25. For the more mature Cica line, we assumed slower growth while incorporating a cross-selling effect, with 10% of Reedle Shot users also purchasing Cica products.

U.S. Sales Estimation

▶ **U.S.:** VT began its full-scale entry into the U.S. market in 4Q23. Given its successful penetration as an emerging indie beauty brand and rapid skincare sales growth on Amazon, we believe its U.S. growth trajectory is broadly comparable to that of COSRX. Compared with 2019, when COSRX first entered the U.S. market, the environment for K-beauty has become significantly more favorable, supported by rapidly increasing U.S.-bound cosmetics exports and a 2.2x YoY increase in K-beauty seller sales during Amazon Prime Day. This suggests that cultural barriers to Korean cosmetics have eased meaningfully. Accordingly, we applied a 10% premium to COSRX's historical U.S. growth trajectory in forecasting VT's U.S. sales.

China Sales Estimation

▶ **China:** China sales appear to have completed the inventory destocking phase and entered a gradual recovery. However, given the continued weakness in the Chinese economy, we expect the pace of recovery to remain moderate. Accordingly, we conservatively forecast revenue for 2Q24–4Q24 based on China's GDP growth rate.
Reedle Shot is currently undergoing regulatory approval in China, and we assume full-scale market entry from 4Q24, with meaningful revenue contribution beginning in 1Q25. For the initial ramp-up, we applied Reedle Shot's early-stage growth trajectory in the Japanese market as the benchmark.

[Fig. 28] Cosmetics Division Revenue Forecast

(1bn won)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24(E)	3Q24(E)	4Q24(E)	1Q25(E)	2Q25(E)	3Q25(E)	4Q25(E)	2024(E)	2025(E)
Cosmetic	26.1	32.9	48.7	55.4	65.1	70.9	80.3	85.7	98.2	106.0	117.7	122.6	302.0	444.4
Japan	21.7	26.8	40.0	36.6	38.9	43.5	48.7	47.8	47.9	51.7	55.9	53.7	179.0	209.3
Cica	21.6	23.4	26.5	23.3	20.9	23.6	26.8	23.5	21.1	23.8	27.0	23.7	94.8	95.6
Reedle Shot		3.5	13.5	13.3	18.0	19.9	22.0	24.3	26.8	27.9	29.0	30.0	84.1	113.7
Domestic	1.8	2.6	4.6	12.0	21.4	22.3	24.7	28.0	28.2	29.6	30.2	31.4	96.4	119.4
Drug Store	0.2	0.2	0.7	4.3	11.1	12.2	12.6	13.5	13.8	15.1	15.6	16.8	49.4	61.3
Duty-Free	0.6	0.7	1.4	2.4	2.2	1.7	1.9	2.0	2.0	1.9	2.0	2.0	7.8	7.8
Other	1.0	1.7	2.5	5.3	8.1	8.4	10.2	12.4	12.5	12.6	12.6	12.7	39.2	50.4
China	1.7	2.6	3.4	5.6	2.1	2.2	2.3	2.4	9.1	9.0	12.1	13.4	8.9	43.7
U.S.	0.0	0.0	0.1	0.2	1.0	1.8	3.4	6.3	11.7	14.6	18.2	22.8	12.6	67.3
Others	1.1	0.8	0.6	1.2	1.6	1.1	1.1	1.2	1.3	1.2	1.2	1.2	5.0	4.8

Source: VT, TEAM RJSJ

Laminating Sales Forecasting

Laminating Sales Forecasting

For the laminating business, we used the average revenue of the previous four quarters, reflecting the company's consideration of a potential divestiture, the segment's limited contribution to total revenue, and its stagnant growth trend.

Subsidiary Revenue Forecast

E&C, Bio, Global, Kably, and Cube Entertainment Revenue Forecasts

ENC, the company's cosmetics manufacturer, is expected to be consolidated from 3Q24. As its revenue is likely to track VT's cosmetics sales, we applied the same growth assumptions used for the cosmetics division. Cube Entertainment is also expected to be reclassified from a subsidiary to an associate from 3Q24 following the decline in VT's ownership stake to 10.06%. For the remaining subsidiaries—Bio, Global, and Kably—we used the average revenue of the previous four quarters due to limited visibility and the difficulty of forming reliable growth assumptions.

[Fig. 29] Subsidiary Revenue Forecast

(1bn won)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24(E)	3Q24(E)	4Q24(E)	1Q25(E)	2Q25(E)	3Q25(E)	4Q25(E)	2024(E)	2025(E)
Consolidated Subsidiary Revenue	24.8	42.6	39.3	39.6	30.9	26.2	27.3	27.6	39.2	39.2	39.3	39.3	111.9	156.9
E&C	0.0	0.0	0.0	0.0	0.0	0.0	25.9	25.9	37.8	37.8	37.8	37.8	51.8	151.2
Bio	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0	0
Global	0.1	0.1	0.1	2.8	1.4	1.1	1.4	1.7	1.4	1.4	1.4	1.5	5.5	5.7
Kably	0.3	0.0	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.1	0.1
Cube Entertainment	24.4	42.5	39.2	36.8	29.5	25.0	0.0	0.0	0.0	0.0	0.0	0.0	54.5	0.0

Source: VT, TEAM RJSJ

5.2. Expense Forecast

Cost of Sales Forecast

Cost of sales primarily consists of raw material and finished-goods purchases. VT procures finished products through an OEM/ODM model, with Cosmecca Korea and E&C serving as key suppliers. We expect the company to maintain relatively stable input costs through long-term supply agreements of three years or more. In addition, Reedle Shot's higher ASP has contributed to a decline in the cost-of-sales ratio since 3Q23. Following the acquisition of a stake in E&C, VT is also expected to benefit from partial vertical integration of Reedle Shot production, which should support both supply stability and further cost reductions.

SG&A Estimation

SG&A expenses mainly consist of personnel expenses, depreciation, commissions, and other selling-related costs. Personnel expenses tend to rise with revenue, but given the relatively weak correlation, we estimated them using VT's two-year average wage growth rate. Depreciation was estimated using the five-year historical average, with additional depreciation from E&C incorporated from 3Q24. Advertising, logistics, sales promotion, and sales commissions were projected in line with revenue growth, as these items historically move closely with sales. Other expenses less directly linked to revenue, including rent, travel, insurance, and entertainment expenses, were estimated using their two-year historical averages.

Non-Operating Income and Corporate Tax Forecast

Non-operating income was estimated based on financial income, financial expenses, equity-method gains or losses, and other income and expenses. Given the limited visibility of these items, we applied historical averages where reasonable. Corporate tax expense was estimated using the statutory tax rate of 22%.

[Fig. 30] SG&A Forecast

(1M Won)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24(E)	3Q24(E)	4Q24(E)	1Q25(E)	2Q25(E)	3Q25(E)	4Q25(E)	2024(E)	2025(E)
Salary	3,575	5,835	1,363	4,094	4,152	6,072	2,856	6,012	6,370	9,858	3,469	8,863	19,091	28,560
Retirement Benefits	295	419	185	319	348	271	276	280	285	293	281	297	1,176	1,156
Employee Benefits	726	1,144	108	668	576	613	622	636	642	647	634	647	2,447	2,570
Travel Expenses	169	308	-62	154	175	140	146	150	157	162	165	157	611	641
Rent	96	118	39	54	59	68	69	71	72	74	71	73	268	289
Bad Debt Expense	-151	166	185	122	-153	41	42	33	27	27	16	31	-37	100
Depreciation	606	1,084	66	522	522	546	793	820	844	870	873	680	2,682	3,266
Insurance Exp.	69	175	-30	40	62	64	66	68	70	68	70	66	259	274
Entertainment Exp.	359	446	402	326	248	294	305	313	316	325	330	330	1,159	1,301
Advertising Exp.	4,635	5,217	3,208	4,845	4,292	4,673	5,293	5,653	6,474	6,986	7,759	8,083	19,911	29,303
Packaging Exp.	100	164	28	90	104	97	97	83	95	95	94	93	382	376
Vehicle Exp.	26	69	-6	71	45	35	36	36	36	38	35	38	152	147
Transportation & Storage Expense	3,670	8,928	1,634	5,314	5,182	5,641	6,390	6,824	7,816	8,434	9,367	9,758	24,037	35,375
Commissions & Fees	1,765	5,580	398	1,464	4,458	4,854	5,498	5,871	6,725	7,257	8,060	8,396	20,682	30,437
Supplies Exp.	183	621	-213	300	137	256	258	262	240	241	224	231	913	936
Overseas Market Development Exp.	10	25	-18	20	14	11	12	13	14	15	16	14	49	59
Sales Promo Exp.	423	1,426	-172	989	614	669	758	809	927	1,000	1,111	1,157	2,850	4,194
Sales Commissions	2,500	4,740	3,380	5,345	5,717	6,224	7,050	7,529	8,624	9,306	10,335	10,767	26,521	39,032
Export-Related Exp.	98	492	-301	102	125	116	33	96	95	95	45	88	370	323
Amortization of Intangible Assets	391	744	37	355	334	403	385	389	380	380	359	378	1,512	1,497
Share-Based Compensation Exp.	189	638	-253	134	84	186	193	200	199	192	206	180	663	777
R&D Expense	88	1,279	-1,173	-13	-6	323	301	250	217	193	103	146	868	659
Others	244	272	135	142	278	257	244	229	206	164	118	50	1,008	537
Totak	20,066	39,889	8,941	25,456	27,371	31,854	31,721	36,627	40,829	46,719	43,737	50,524	127,573	181,809

Source: VT, TEAM RJSJ

[Fig. 31] VT Consolidated Earnings Estimates

(십억원)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24(E)	3Q24(E)	4Q24(E)	1Q25(E)	2Q25(E)	3Q25(E)	4Q25(E)	2023	2024(E)	2025(E)
Sales	47.9	74.7	84.1	88.8	101.8	90.2	99.0	104.1	127.1	136.2	147.3	152.0	295.5	395.0	562.7
YoY	-16%	31%	57%	23%	113%	21%	18%	17%	25%	51%	49%	46%	23%	34%	42%
Cost of Sales	27.2	39.6	44.2	44.5	50.4	44.2	48.0	49.9	60.4	63.4	67.8	68.4	155.5	192.6	259.9
Cost of Sales Ratio	57%	53%	53%	50%	50%	49%	49%	48%	48%	47%	46%	45%	53%	49%	46%
SG&A Expenses	20.0	23.3	25.4	25.4	27.3	31.8	31.6	36.5	40.6	46.5	43.5	50.2	94.1	127.2	180.8
Operating Profit	0.7	11.8	14.5	18.9	24.1	14.2	19.4	17.6	26.1	26.4	36.1	33.4	45.9	75.3	122.0
Non-Operating income	(1.1)	1.1	1.9	2.1	1.2	1.6	1.7	1.6	1.5	1.6	1.6	1.6	4.0	6.1	6.4
Income Tax Expense	0.2	2.9	3.1	3.6	4.4	2.9	3.9	3.5	5.3	5.0	7.5	6.9	9.8	14.7	24.7
Net Income	1.6	7.8	9.5	13.2	18.5	9.7	13.8	12.5	19.3	19.8	26.9	24.9	32.1	54.5	90.9

Source: VT, TEAM RJSJ

[Fig. 32] Revenue Trend and Forecast by Business Segment

(1bn won)	2022	2023	2024(E)	2025 (E)
Consolidated Revenue	240.3	295.5	395.0	562.7
Cosmetics	119.6	163.1	301.7	441.5
Laminating	37.8	34.8	36.7	36.7
Consolidated Subsidiaries	129.1	146.0	132.0	156.9
Consolidation Adjustments	-46.2	-48.5	-75.3	-72.4

Source: VT, TEAM RJSJ

5.3. PER Valuation

VT is an indie beauty brand that initially built its growth around the Japanese market. After reducing its single-IP risk, the company is now accelerating expansion into the U.S. and China with Reedle Shot as a global hero product, while continuing to deepen its presence in Japan. In Korea, Reedle Shot was also ranked among Olive Young's Top 3 skincare products in 1H24.

Entering a Full-Scale Overseas Expansion Phase

We believe VT has entered a full-scale overseas expansion phase. Following its success in Japan, the company is now positioning the U.S. as its key growth market, with further regional expansion expected over the next 2–3 years. In the U.S., VT has differentiated Reedle Shot as an innovative "topical MTS (Microneedle Therapy System)" product through influencer marketing across YouTube and TikTok. Its strong performance, including a No. 3 ranking in Amazon Prime Day's serum category, suggests successful early market penetration. We expect further topline growth in 2H24 through collaboration with Silicon2.

For the Base Case, we apply a 21x target P/E, representing a 40% discount to Amorepacific's average P/E of 35x during its major overseas expansion phase in 2013–15. We view VT's Reedle Shot-led global expansion as broadly comparable to Amorepacific's overseas growth phase, while applying a discount for higher cultural barriers in the U.S. and some consumer complaints regarding the product's tingling sensation. If U.S. penetration accelerates in 2H24, we believe both the valuation multiple and EPS estimates could be revised upward. Accordingly, our Bull Case target P/E is 24.5x, a 30% discount to Amorepacific's historical 35x multiple.

We forecast 2025 revenue of KRW 562.7bn, operating profit of KRW 122.0bn, and net income of KRW 90.9bn. Under the Base Case, applying a 21x target P/E to 2025F EPS of KRW 2,540 yields a target price of KRW 53,000, implying 53.8% upside. We therefore initiate coverage on VT with a BUY rating.

[Fig. 33] Base Case Target Price

Item	Details
2025 EPS (KRW)	2,540
Target PER (x)	21
2025 Market Cap (KRW)	1.9 tn
Implied Fair Value (KRW)	53,340
Target Price (KRW)	**53,000**
Current Price (KRW)	**34,450**
Upside Potential (%)	**53.8%**

Source: VT, TEAM RJSJ

[Fig. 34] Bull Case Target Price

구분	내용
2025 EPS (KRW)	2,540
Target PER (x)	24.5
2025 Market Cap (KRW)	2.227 tn
Implied Fair Value (KRW)	62,230
Target Price (KRW)	**62,000**
Current Price (KRW)	**34,450**
Upside Potential (%)	**80%**

Source: VT, TEAM RJSJ